

Startup Wisdom

Why startups fail?

Intro

90% of all founded startups go out of business.

The reasons are different. Let's explore some of them and see how you can fix them

Premature Optimizations

Engineers like to work on challenging problems.

They can spend days and months optimizing your product to hold the load of 1 billion customers even if you only have 10 at the moment.

Premature optimizations steal your time and focus off of your product.

Overcomplications

Keep things simple and functional. Do not overcomplicate.

80% of your product will satisfy 95% of the customers. Adding complexity to satisfy the needs of 1 or 2 users, doesn't make any sense and will only drag you down long-term.

Concentrate on the core features and do them really well.

Less Complexity

Measure the usage of your product features and kill the ones that are not or barely used.

More complexity means more maintenance means more money spent on non valuable items.

Better spend them on marketing, sales, growth etc.

Do not overcomplicate your product.

New Frameworks

Developers like to try out new stuff and can fall prey to “amazing new framework/programming language” narrative.

Settle on one stack and move on until you can launch something valuable. Nothing is set in stone, you can always change stuff at later stages.

You tech stack does not matter to your customers.

Launching Too Late

Launching too late is like optimizing for a customer who never saw your product.

Yes, the saying goes - “scratch your own itch” - build the product that you need but nobody can truly imagine how the product you’ve been building in your basement for the past year will be used once it’s launched.

Build something, launch, get the feedback, reiterate.

Launch, test, reiterate.

Launching Multiple Times

Contrary to a popular belief, you shouldn't be afraid of making the bad first impression.

You can launch as many times as you like. Even if you failed 10 times in a row and launched successfully on 11th - nobody will care.

If you don't trust me here is the quote from Brian Chesky (AirBnb): **“If you launch and no one notices, launch again. We launched 3 times.”**

Marketing

“Build it and they will come” - they said.

They lied!

Build it, shout about it, do marketing for it and only then they may come and take a look at your product.

Until then make it attractive and valuable.

Marketing and sales are as important as product development.

Fire Fast

Fire toxic people as fast as possible.

You will make hiring mistakes. Don't judge yourself - correct them.

Having toxic people on board or even in a team will harm your company.

Toxicity is contagious. Eliminate it as fast as possible.

Decision making

Many decisions you will make will be wrong.
It happens always when you build something new.

Nevertheless, **any decision, even the wrong one, is better than no decision.**

Whenever you dwell on taking a step, the decision is made for you by your competitors, by your customers (to move away from you), by the regulator, by the market.

Take a decision and move on.

Pivot if needed

Don't be afraid of making radical changes to your product.

Once you will launch, your customers may start using your product in unexpected ways.

You can battle with them and let them understand your intentions or you can listen to them, pivot and maybe create an even better and more desired product.

Take chances, explore opportunities.

Clear instructions

Be clear when defining anything, be it a feature of your product or a goal for your sale department.

Any instruction that can be misinterpreted will be misinterpreted.

It's always better to spend one hour more to get thing clear, than one month to understand that something was unclear in the past.

Be very precise in your formulations and instructions. Communicate same things multiple times if needed.

Don't ask for permission

Know the rules to effectively bend or break them.

Winners play by their own rules. If the market rules limit you, seek the ways to overcome them. Once you get big enough you can bend them.

Seek forgiveness rather than permission.

Pace yourself

Startup is not a sprint it's a marathon - you have to pace yourself. You cannot go full speed all the time.

Find people who will burn with you, this way you can take some rest from time to time.

Go full speed whenever you can but don't forget to take some time off.

It will take a lot of time - be prepared.

Funding

Starting your own company is an expensive endeavour.

No investor will give you the money for an idea. The money is invested in growing products or reputation.

If you neither have a product nor reputation yet and ask for money - you will probably get an advice.

So if you want to get the money - ask for advice.

Network

The world feels as connected as never before. Virtually you can get introduced to nearly anyone but these connections don't mean a lot.

Meet people in the real world, get to know them, connect with them on a personal level. Get to be known - it will help both you and your product.

Grow your network in real life.

Startup Wisdom

<https://kostyuchenok.com>

igor@kostyuchenok.com